IN THE NATIONAL COMPANY LAW TRIBUNAL,

ALLAHABAD BENCH

Company Petition No. CP (CAA) No. 254/ALD of 2020

Connected with

Company Application No. CA (CAA) No. 173/ALD of 2020

(Under Section 230 & 232 of the Companies Act, 2013)

In the Matter of:

1. **Shivam Vintrade Pvt Ltd**, a private limited company incorporated under the Companies Act, 1956 and having its registered office at 101, 1st Floor, Elora Complex, Near Hanuman Chauraha, Khandari, Agra-282 002, Uttar Pradesh

..... Petitioner Company No. 1/Transferor Company No. 1

2. **Curio Trades & Holding Company Pvt Ltd**, a private limited company incorporated under the Companies Act, 1956 and having its registered office at 101, 1st Floor, Elora Complex, Near Hanuman Chauraha, Khandari, Agra-282 002, Uttar Pradesh

..... Petitioner Company No. 2/Transferor Company No. 2

3. **Vision Finlease Pvt Ltd**, a private limited company incorporated under the Companies Act, 1956 and having its registered office at Shop No. 27, 2nd Floor, Padam Plaza, Plot No. 5, Sector 16B, Awas Vikas Sikandra Yojna, Agra-282 007, Uttar Pradesh

..... Petitioner Company No. 3/Transferor Company No. 3

AND

4. **Shri Riddhi Siddhi Buildwell Ltd**, a public limited company incorporated under the Companies Act, 1956 and having its registered office at Hall H-1, 2nd Floor, Padam Plaza, Plot No. 5, Sector 16-B, Awas Vikas Sikandra Yojna, Agra–282 007, Uttar Pradesh

..... Petitioner Company No. 4/Transferee Company

ORDER DELIVERED ON :06.07.2021

CORAM:
Hon'ble Mr. Justice (Retd.) Rajesh Dayal Khare, Member, Judicial

For the Applicants : Mr. Ankit Kumar Singh, PCS

Per se: Mr. Justice (Retd.) Rajesh Dayal Khare, Member (Judicial)

Order

1. The Present Petition is filed by the Petitioner Companies under Sections 230 & 232 of the Companies Act, 2013 read with Rules framed thereunder, as in force from time to time, for the Sanction of

the proposed Scheme of Amalgamation of Shivam Vintrade Pvt Ltd, Curio Trades & Holding Company Pvt Ltd and Vision Finlease Pvt Ltd with Shree Riddhi Siddhi Buildwell Ltd and their respective Shareholders and Creditors ***(hereinafter referred to as "Scheme" or "Scheme of Amalgamation")***.

(A copy of the Scheme has been annexed and marked as Annexure P-1 to the Company Petition No. 254/ALD of 2020).

2. The proposed Scheme of Amalgamation has previously been approved by the Board of Directors of the Transferor Companies No. 1 to 3 and the Transferee Company in the respective meetings held on 18th July, 2020.

3. The factual position of the Authorized, Issued, Subscribed and Paid-up Share Capital of all the Petitioner Companies are described well in the present Company Petition, which are being reproduced hereunder:

a. The Authorised Share Capital of the Transferor Company No. 1 is ₹1,00,000 divided into 10,000 Equity Shares of ₹10 each. The present Issued, Subscribed and Paid-up Share Capital of the Company is ₹1,00,000 divided into 10,000 Equity Shares of ₹10 each.

b. The Authorised Share Capital of the Transferor Company No. 2 is ₹62,00,000 divided into 6,20,000 Equity Shares of ₹10 each. The present Issued, Subscribed and Paid-up Share Capital of the Company is ₹61,90,200 divided into 6,19,020 Equity Shares of ₹10 each.

c. The Authorised Share Capital of the Transferor Company No. 3 is ₹35,00,000 divided into 3,50,000 Equity Shares of ₹10 each. The present Issued, Subscribed and Paid-up Share Capital of the Company is ₹34,00,000 divided into 3,40,000 Equity Shares of ₹10 each.

d. The Authorised Share Capital of the Transferee Company is ₹4,00,00,000 divided into 38,50,000 Equity Shares of ₹10 each aggregating to ₹3,85,00,000; and 1,50,000 Preference Shares of ₹10 each aggregating to ₹15,00,000. The present Issued, Subscribed and Paid-up Share Capital of the Company is ₹2,89,49,660 divided into 28,87,466 Equity Shares of ₹10 each aggregating to ₹2,88,74,660; and 7,500 (10% Non-cumulative) Compulsorily Redeemable Preference Shares of ₹10 each aggregating to ₹75,000.

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4. The Rational of the proposed Scheme of Amalgamation is elaborately described in the present Company Petition which may be summarized as under:

a. All the Transferor Companies and the Transferee Company are closely held un-listed companies. The proposed amalgamation of the Transferor Companies with the Transferee Company would result in business synergy, consolidation of these Companies and pooling of their resources into a single entity.

b. The proposed Amalgamation would result in optimising and leveraging existing resources of these Companies for the most beneficial utilization of these factors in the combined entity. It would be advantageous to combine the activities and operations of all these Companies in a single entity and building strong capability to effectively meet future challenges in competitive business environment.

c. The proposed Scheme of Amalgamation will result in usual economies of a centralized and a large company including elimination of duplicate work, reduction in overheads, better and more productive utilization of financial, human and other resource and enhancement of overall business efficiency. The proposed Scheme will enable these Companies to combine their managerial and operating strength, to build a wider capital and financial base and to promote and secure overall growth.

d. The amalgamation will result in significant reduction in multiplicity of legal and regulatory compliances which at present is required to be made separately by the Transferor Companies and the Transferee Company.

e. The proposed amalgamation will provide greater efficiency in fund management and unfettered access to fund flow generated by the combined business which can be deployed more efficiently to fund organic and inorganic growth opportunities. The proposed amalgamation would enhance the shareholders' value of the Transferor and the Transferee Companies.

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f. The proposed Scheme of Amalgamation will have beneficial impact on the Transferor and the Transferee Companies, their shareholders, employees and other stakeholders and all concerned.

5. The Petitioners have stated that the accounting treatment proposed in the Scheme of Amalgamation is in conformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013. ***(Certificates from the respective Statutory Auditors of the Petitioner Companies are annexed and collectively marked as Annexure P-15 to the Company Petition No. 254/ALD of 2020)***

6. It has also been stated in the Petition that none of the Directors of the Petitioner Companies have any material interest in the Scheme, save as except to the extent of shareholding in the abovementioned Petitioner Companies.

7. It has also been stated in the Petition that the Scheme is not prejudicial to the interest of the Shareholders and Creditors of the Petitioner Companies and the Petition is made *bona fide* and is in the interest of all the Petitioner Companies and their Shareholders, Secured Creditors and Un-secured Creditors as a whole and is also just and equitable.

8. It is also submitted that the Board of Directors of the Petitioner Transferor Companies No. 1 to 3 and the Transferee Company have determined the share exchange ratio as under:

a. *The Transferee Company-Shree Riddhi Siddhi Buildwell Ltd will issue 12 (twelve) Equity Shares of ₹10 each, credited as fully paid up, for every 1000 (one thousand) Equity Shares of ₹10 each held in the Transferor Company No. 1-Shivam Vintrade Pvt Ltd.*

b. *The Transferee Company-Shree Riddhi Siddhi Buildwell Ltd will issue 136 (one hundred thirty-six) Equity Shares of ₹10 each, credited as fully paid up, for every 1000 (one thousand) Equity Shares of ₹10 each held in the Transferor Company No. 2-Curio Trades & Holding Company Pvt Ltd.*

c. *The Transferee Company-Shree Riddhi Siddhi Buildwell Ltd will issue 300 (three hundred) Equity Shares of ₹10 each, credited as fully paid*

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up, for every 1000 (one thousand) Equity Shares of ₹10 each held in the Transferor Company No. 3-Vision Finlease Pvt Ltd.

9. The Petitioner Companies have also annexed the valuation report dated 9th July, 2020 given by Mr Sandeep Kumar Agrawal, Chartered Accountant and the IBBI Registered Valuer, in relation to the share exchange ratio.

10. A perusal of the present Petition discloses that initially the Petitioner Companies had filed a Company Application No. 173/ALD of 2020 seeking directions of this Tribunal to dispense with the requirement of convening the meetings of Equity Shareholders and Un-secured Creditors of the Transferor Companies No 1 to 3; and Equity Shareholders and Preference Shareholders, of the Transferee Company; and to convene separate meetings of Secured Creditors and Un-secured Creditors of the Transferee Company, through video conferencing with facility of remote e-voting. Accordingly, this Tribunal vide its order dated 28th September, 2020 (date of pronouncement), allowed the above mentioned prayers, by directing to convene separate meetings of Secured Creditors and Un-secured Creditors of the Transferee Company, through video conferencing with facility of remote e-voting under its supervision for the purpose of considering and, if thought fit, approving, with or without modification(s), the proposed Scheme of Amalgamation and dispensed with the requirement of convening meetings of Equity Shareholders and Un-secured Creditors of the Transferor Companies No 1 to 3; and Equity Shareholders and Preference Shareholders, of the Transferee Company. The Transferor Companies No. 1 to 3 did not have any Secured Creditor.

11. A perusal of the present Petition discloses that in pursuance of the directions contained in Order dated 28th September, 2020 (date of pronouncement), passed by this Tribunal in Company Application No. 173/ALD of 2020, separate meetings of Secured Creditors and Un-secured Creditors of the Transferee Company were convened and held through Video Conferencing, on Wednesday, 11th November, 2020 at 2.30 P.M. and 3.30 P.M., respectively.

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12. The requisite quorum was present, and the Scheme was approved unanimously by the Secured Creditors and Un-secured Creditors of the Transferee Company, without any modifications. The common Chairperson appointed for the meetings has filed his reports dated 12th November, 2020 which are annexed as Exhibit No. 1 and 2 to the Petition.

13. This Tribunal vide its order dated 4th December, 2020 directed to issue notice of hearing in respect of present Company Petition to the Statutory Authorities and also to make paper publication in this respect in **English Newspaper "Business Standard" (Delhi Edition covering Agra) and Hindi Newspaper "Hindustan" (Agra Edition)**.

14. In compliance thereof, the Petitioner Companies have filed Affidavit of service and publication, confirming that notices have been duly published in **English Newspaper "Business Standard" (Delhi Edition covering Agra) and Hindi Newspaper "Hindustan" (Agra Edition)**. The Petitioner Companies have also served notice of the Company Petition to (a) the Regional Director (Northern Region), New Delhi, (b) the Registrar of Companies, Uttar Pradesh, Kanpur, (c) the Official Liquidator, Uttar Pradesh, Allahabad, (d) the Income Tax Department; and (e) UP RERA, Greater Noida.

15. In response to the above stated notice, the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi has filed his report/affidavit dated 22nd March, 2021, along with the report of the Registrar of Companies. Learned Regional Director has not raised any objection against the Scheme of Amalgamation.

16. The Official Liquidator has also filed his report and no objection has been raised by him to the proposed Scheme of Amalgamation.

17. The Income Tax Department has filed its reports and no objection has been raised to the proposed Scheme of Amalgamation.

18. I have gone through the reports of the Ld. Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi, the Official Liquidator, Allahabad and the Income Tax Department. After

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perusing the same, I am of the view that the sanction of the present Scheme is not against public policy, nor it would be prejudicial to the public interest at large.

19. In addition to above, all the statutory compliance either seems to have been complied with or further undertaken for making compliances by Petitioner Companies. Therefore, the present Company Petition deserves to be allowed in terms of its Prayer clause. In the result, the Scheme of Amalgamation annexed to Company Petition is duly approved and hereby sanctioned.

20. In the result, the proposed Scheme of Amalgamation which is annexed to the Company Petition stand approved and sanctioned. Petitioner Companies are required to act upon as per terms and condition of the sanctioned Scheme and the same to be binding on its Shareholders, Secured Creditors and Un-secured Creditors of the above named Petitioner Companies and also on the Petitioner Companies with effect from the appointed date, i.e., 1st day of April, 2020.

21. While approving the Scheme as above, it is clarified that this order should not be construed as, in any way, granting exemption from payment of stamp duty (if any is applicable), taxes (including Income Tax, GST or any other charges, if any are applicable) and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law. Also, the Transferor Companies No. 1 to 3 shall stand dissolved without undergoing the process of winding up.

22. The Petitioner Companies shall, within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration.

23. All concerned regulatory authorities to act on a copy of this order annexed with the Scheme duly authenticated by the Registrar, National Company Law Tribunal, Allahabad.

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24. Any person interested shall be at liberty to apply before this Tribunal in the above matter for such directions as may be necessary.

25. Accordingly, the present Company Petition bearing **CP (CAA) No. 254/ALD of 2020** is allowed and stands disposed of.

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JUSTICE RAJESH DAYAL KHARE

MEMBER (J)

Date:06.07.2021

Swati Gupta
(LRA)